

Japan Economic Flash: Basic Policies and Growth Strategy Outline Takaichi Administration's Fiscal Shift

- Japan's Cabinet has approved the 2026 Basic Policies on Economic and Fiscal Management and Reform ("Basic Policies") and the Japan Growth Strategy, a key policy of the Takaichi administration.
- The Basic Policies for 2026, the first under the Takaichi administration, outline a major shift in the fiscal framework, including transitioning from single-year to multi-year budgets for investment projects, and replacing the previous fiscal consolidation target of delivering a primary surplus with the goal of steadily reducing the debt-to-GDP ratio through economic growth.
- These moves will create the necessary environment for promoting the medium- to long-term public-private growth investment strategy, a core policy of PM Takaichi, while creating room for the government to manage security and crisis management investments flexibly, as needed. We also expect that the initial budget is highly likely to expand compared to the past, as investments for the Japan Growth Strategy will be incorporated into the initial budget.
- The Japan Growth Strategy identifies 17 strategic fields contributing to crisis management investment and growth investment, and aims to improve Japan's medium- to long-term growth expectations and expand private investment primarily via domestic investment in these areas.
- The Japan Growth Strategy calls for total public and private investment under the project to cumulatively reach over ¥370 tn in FY2040 (vs. ¥156 tn in CY2025), nominal private capex growth of 4% and nominal GDP growth of 3.5% annually, to continue to FY2040. However, it should be noted that these are merely assumptions and estimates, not necessarily targets that must be achieved. While the government will provide institutional support and funding for investments, it relies heavily on private investment, and ultimately depends on the decisions of private-sector companies.
- Current capex is being driven by labor-saving investments and digitalization to address intensifying labor shortages. Since the labor shortage is a structural issue, we think corporates are likely to maintain their proactive investment stances over the medium-long term.

Yuriko Tanaka
+81(3)4587-9964 |
yuriko.tanaka@gs.com
Goldman Sachs Japan Co., Ltd.

Tomohiro Ota
+81(3)4587-9984 |
tomohiro.ota@gs.com
Goldman Sachs Japan Co., Ltd.

Akira Otani
+81(3)4587-9960 | akira.otani@gs.com
Goldman Sachs Japan Co., Ltd.

Basic Policies and Growth Strategy Outline Takaichi Administration's Fiscal Shift

Japan's Cabinet has approved the 2026 Basic Policies and the Japan Growth Strategy, a key policy of the Takaichi administration.

The **Basic Policies** are a document spearheaded by the Council on Economic and Fiscal Policy that outlines the government's key issues, budget formulation guidelines for the next fiscal year, and a medium- to long-term roadmap for national policies. It has been published around June every year since 2001.

The 2026 edition—the first under the Takaichi administration—outlines a major policy shift in the fiscal framework, including transitioning from single-year to multi-year budgets for investment projects, and replacing the fiscal consolidation target of delivering a primary surplus with steadily reducing the debt-to-GDP ratio through economic growth.

The key points of the 2026 Basic Policies are as follows:

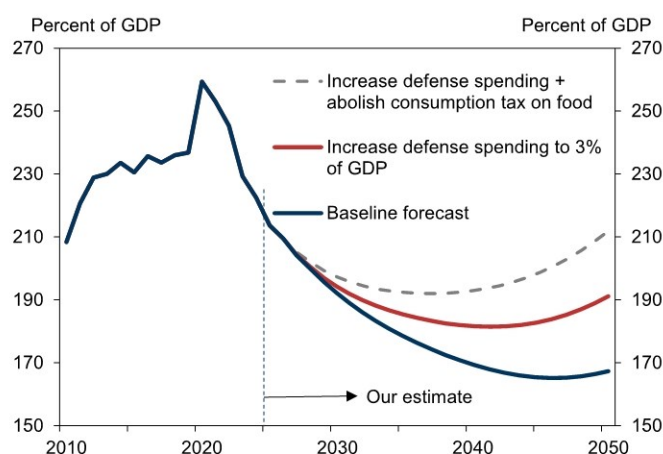
- For medium- to long-term key investments, there will be a shift from single-year budgets, where expenditures are recorded annually, to multi-year budgets.
- These policies will be funded in the initial budget, and supplementary budgets will focus on emergency measures such as disaster response and economic crises.
- Regarding fiscal discipline, the Basic Policies state that the government will not mechanically pursue a single-year surplus for the primary balances of the national and local governments, but will instead aim for a stable reduction in the government debt-to-GDP ratio.
- On government bond issuance, the Basic Policies state that the government will clarify a full-year government bond issuance amount while ensuring market confidence, showing a certain degree of consideration for the market.
- The document maintains that the government and the BOJ will work closely together to achieve the sustainable and stable realization of the 2% price stability target. However, a footnote shows consideration for the BOJ's independence by stating that the specific methods of monetary policy that are employed are left to the Bank of Japan.
- A policy for reducing consumption tax will be decided by early August, with the Basic Policies not including any specific tax rate.
- On defense spending, the document does not mention any targets for the defense budget or for the ratio of defense spending to GDP.

Securing budgets for investment projects over multiple fiscal years and formulating budgets that are not bound by single-year primary balance targets create the necessary environment for promoting the medium- to long-term public-private growth investment strategy, which is PM Takaichi's core policy. This also creates room for the government to manage security and crisis management investments flexibly, as needed. On the other hand, by incorporating investments for the Growth Strategy and expenditure items from supplementary budgets into the initial budget, we expect that initial budgets from FY2027 onward will be larger than in the past over the long term.

The goal of a stable reduction in the government debt-to-GDP ratio represents, in our view, a “convenient” fiscal target for promoting the medium- to long-term investment policies advocated by the Takaichi administration. Raising the nominal growth rate via the government’s investment strategies should allow the ratio of spending to GDP to decline even if the fiscal deficit and government debt were to increase. Indeed, based on our estimates, even under a risk scenario of fiscal expansion where the consumption tax cut currently being debated in the National Council is introduced (assuming it becomes virtually permanent after two years) and defense spending is increased from 2% to 3% of GDP, there would be a grace period of about 10 years until the mid-2030s before the government debt-to-GDP ratio starts to rise at current interest rate levels. However, assuming the 10-year yield rises to 3.5%, the government debt-to-GDP ratio would shift to an upward trend in about 5 years.

This suggests that if the financial market’s concerns about public finances are disregarded by the government, the public debt-to-GDP ratio could rise via higher long-term interest rates driven by an increase in the risk premium. Put another way, market concerns about fiscal sustainability could potentially erode that sustainability.

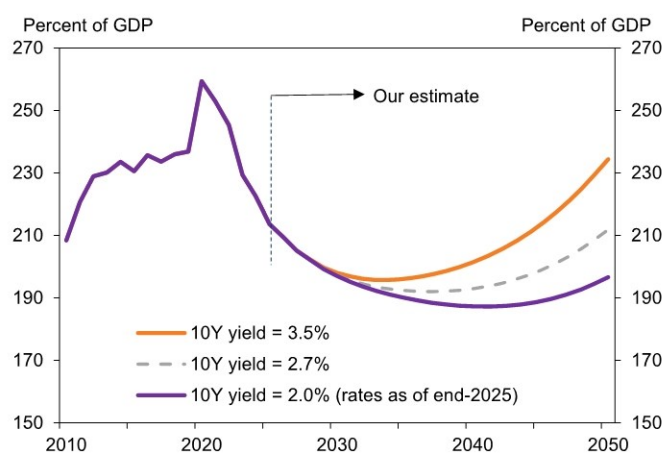
Exhibit 1: The Larger the Primary Balance Deficit, the Sooner the Public Debt-to-GDP Ratio Would Start to Rise
Debt/GDP Ratio Simulation by Primary Balance Scenario



The baseline forecast is a conservative scenario in which government spending increases only to reflect factors such as higher prices and demographic changes. In addition to this, we estimated future primary balances for two risk scenarios: (1) increasing defense spending from the current 2% of GDP to 3%, and (2) a permanent consumption tax cut on food (a proposal to lower the tax rate from 8% to 1% that is gaining traction), and estimated the debt-to-GDP ratio based on these. This chart is a simulation assuming a 10-yr yield of 2.7%.

Source: Cabinet Office, Goldman Sachs Global Investment Research

Exhibit 2: Higher Market Interest Rates Would Have a Large Long-Term Impact on the Public Debt-to-GDP Ratio
Debt/GDP Ratio Simulation by Interest Rate Scenario, Assuming an Increase in Defense Spending and Consumption Tax Cut on Food



Source: Cabinet Office, Goldman Sachs Global Investment Research

Japan Growth Strategy: Assumes ¥370 tn in Public-Private Investment and Nominal GDP of ¥1,100 tn by FY2040

The Japan Growth Strategy, a signature policy of the Takaichi administration, has also been approved by the Cabinet. It identifies 17 strategic fields contributing to crisis management investment and growth investment, aiming to improve medium- to long-term growth expectations and expand private investment primarily through domestic investment in these areas.

The main points of the Japan Growth Strategy are as follows:

- Assumes total public and private investment of ¥370 tn cumulatively by FY2040 for 62 key products and technologies across the 17 strategic fields, including AI, semiconductors, digital, drug discovery, and next-generation energy (see [Exhibit 3](#) for details).
- Regarding public-private investment, a draft public-private investment roadmap was formulated after discussions in a working group comprised of academics, think tanks, and corporate representatives in each field. Based on this, the government asked major companies and industry organizations about their future investment plans and outlooks, then arrived at a figure for total investment based on this surveyed information.
- As for additional fiscal spending, a new investment framework will be established for crisis management investment and growth investment, securing and managing financial resources over multiple fiscal years. However, specific fiscal spending amounts, the allocation of public and private investments, and the details of government spending (subsidies, loan quotas, etc.) are yet to be determined.
- The government estimates that in a scenario where the effects of implementing the Growth Strategy are fully realized, the potential growth rate would rise from the current c.0.5% to over 1.5% in the 2030s on the contribution from an increase in TFP.
- Furthermore, in this scenario, the government estimates private capex would expand to ¥250 tn and nominal GDP to ¥1,100 tn in FY2040.

The total public and private investment of over ¥370 tn cumulatively, private capex level of ¥250 tn in FY2040, and nominal GDP level of ¥1,100 tn included in the Japan Growth Strategy are merely assumptions and estimates, not necessarily targets that must be achieved. While the government will provide institutional support and funding for investments, it should be noted that it relies heavily on private investment, and ultimately depends on the decisions of private-sector companies.

Note that a nominal GDP of ¥1,100 tn would be achievable with annual nominal GDP growth of 3.5% through FY2040, but this is premised on the government's inflation expectation of 2% and a potential growth rate of 1.5% driven by an increase in TFP.

We consider the assumption that the potential growth rate will rise significantly, driven by TFP, to be quite an ambitious outlook, considering that Japan's TFP growth has only risen very gradually up to now. As such, it is uncertain whether a nominal GDP of ¥1,100 tn can be realized. We do consider private capex of ¥250 tn in FY2040 to be achievable. To attain this target, private capex will need to continue increasing by about 4% annually going forward. Capex in FY2025 has seen a nominal increase of about 5%. Current capex is being driven by labor-saving investments and digitalization to address intensifying labor shortages. Since the labor shortage is a structural issue, we expect corporates to maintain a proactive investment stance. Under such circumstances, if government support were to further boost corporate capex, along with the contribution from rising capex spending due to inflation, the private capex amount of ¥250 tn in FY2040 would appear achievable to us.

Exhibit 3: Government Identifies 62 Key Products and Technologies across the 17 Strategic Fields

Field, Product and Technology	Public / Private Investment (JPY Tn)	Target Year (FY2040 if blank)	Field, Product and Technology	Public / Private Investment (JPY Tn)	Target Year (FY2040 if blank)
AI and Semiconductors			Port Logistics		
Physical AI	10.5		Port cargo handling machinery	0.4	
Semiconductors for AI	68		Port logistics DX	0.2	
Vertical AI	23.1		Next-Generation Warehouses	0.6	
Digital and Cybersecurity			Shipbuilding		
Digital Platform	0.9	FY2035	Next-Generation Ships	1	FY2034
Government AX/DX	7.4	FY2035	Ship Repair	0.1	FY2035
Advanced Cybersecurity	1	FY2035	LNG Carriers	To Be Decided	
Storage Batteries	32.7	FY2035	Materials (Critical Minerals, Parts and Materials)		
Medical DX Infrastructure	5.2		Permanent Magnets	0.2	
Autonomous Driving Technology	8.2		Metal Parts and Materials	0.3	
Information and Communications			Low-Carbon Materials	0.7	
Optical Networks	5.9		Smelting Technology	6.3	
Submarine Cables	2.4		Advanced Composite Materials	5.2	
Next-Generation Wireless	20.5		Synthetic Biology and Biotechnology		
Quantum Technology			Biomanufacturing	12.8	
Quantum Computing	10.3		Biopharmaceuticals	20.8	
Quantum Communication and Networks	1.5		Drug Discovery and Advanced Medicine		
Quantum Sensing	1.4		Innovative Medicine	23.4	
Defense Industry			Infectious Disease Countermeasure Products	7.2	
Small Unmanned Aerial Vehicles	0.4		AI Advanced Medicine	11.6	
Vessels (to reflect the new national security 3 documents)			Healthcare Services	1.1	
Dual-Use Technologies	4.3		Resources, Energy Security and Green Transformation (GX)		
Aerospace			Next-Generation Solar Cells	4.1	
Civil Aircraft	3.5		Hydrogen, etc.	6.2	
Unmanned Aerial Vehicles	0.3		Green Steel	4.2	
Advanced Air Mobility	0.4		Next-Generation Geothermal	1	
Rockets and Launch Sites	2.3		Offshore Wind	5.1	
Satellites and Services	6.4		Next-Generation Innovative Reactors	5	
Lunar Exploration and Low Earth Orbit Technologies	5.6		GX chemicals	3.2	
Marine			Fusion Energy		
Unmanned Maritime Vehicles	1.2		Fusion Technology	3.1	
Maritime Domain Awareness	1.1		Disaster Prevention and National Resilience		
Seabed Development Technology	0.9		Disaster Prevention Technology	2.6	FY2030
Food Technology			Content (Anime, Games, etc.)		
Plant Factories	4.6		Games	24.5	FY2033
Land-based Aquaculture	2.9		Anime	3.3	FY2033
Food Machinery	1.2		Manga	1.6	FY2033
Novel Foods	1		Music	3	FY2033
			Live-action	1.3	FY2033

Shaded cells in same color have overlap in the estimated investment. Therefore, adding all figures in the public/private investment column exceed the government estimation of ¥370 trillion.

Source: Cabinet Office

The Japan Economics Team

Akira Otani

+81(3)4587-9960
akira.otani@gs.com
Goldman Sachs Japan Co., Ltd.

Tomohiro Ota

+81(3)4587-9984
tomohiro.ota@gs.com
Goldman Sachs Japan Co., Ltd.

Yuriko Tanaka

+81(3)4587-9964
yuriko.tanaka@gs.com
Goldman Sachs Japan Co., Ltd.

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Contributing Authors: Yuriko Tanaka Goldman Sachs Japan Co., Ltd., Tomohiro Ota Goldman Sachs Japan Co., Ltd., Akira Otani Goldman Sachs Japan Co., Ltd..

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